

ECON 0100 | Part E

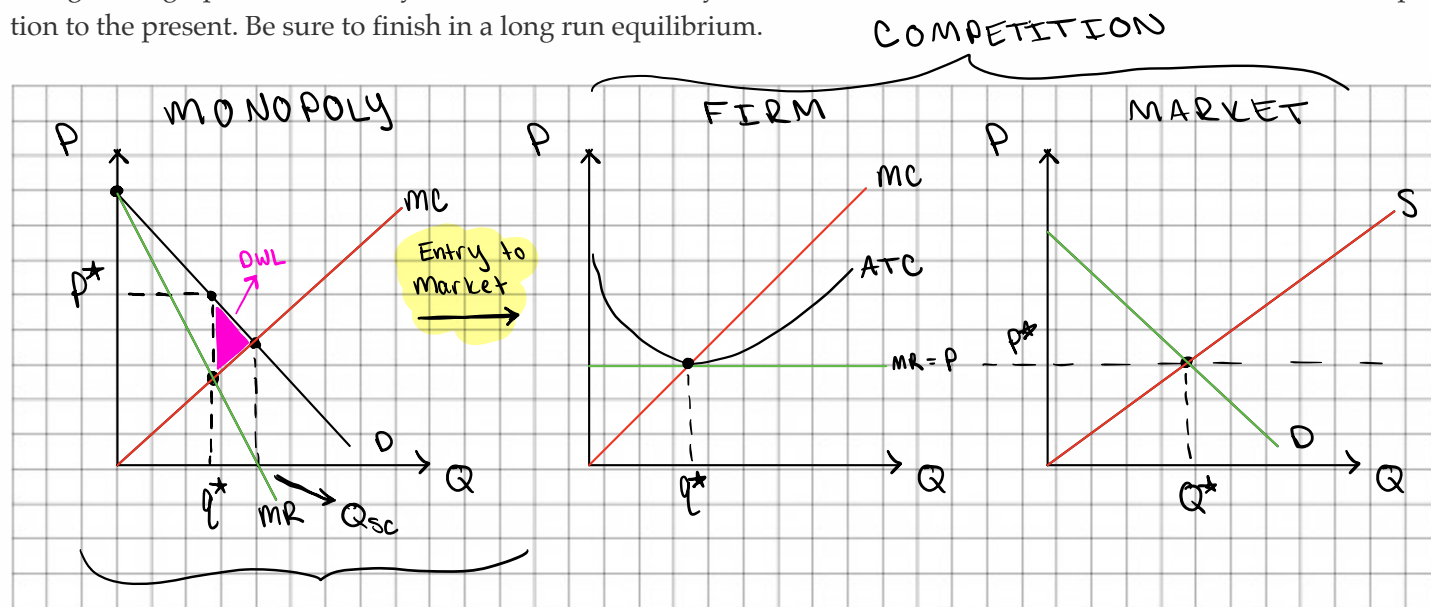
Vignette E5

The History of the Broomstick Market

In the early days of magical sporting and transportation, Shooting Star was the ^{monopoly} first broomstick maker to enter the market. They developed a proprietary method for autolocomotion and held the entirety of the market. As their technological secrets began disseminating among the wizarding world, many broomstick makers began producing broomsticks with identical handling and acceleration characteristics. Today, few if any new broomstick makers had opened.

↳ Firm entry (perfect competition)

Using a few graphs to illustrate your answer, tell the story of the evolution of the broomstick market from its inception to the present. Be sure to finish in a long run equilibrium.



Representation of both
Single firm and market

Initially, Shooting Star is the only manufacturer, indicating a monopoly on the market. Since monopolies are not price takers, they set their own price. Since they are profit maximizers, they'll produce a smaller quantity and charge up to what the consumer is willing to pay (up to the demand curve). This creates deadweight loss.



When secrets begin to spill, other firms will enter because there is profit in the market. Firms will keep entering until there is no profit and the price is set by the market. In the long-run, the market will produce at the socially efficient quantity at the minimum of ATC.